

# Introduction to Organizational Behaviour



**Organizational Behaviour (OB) is the systematic study of how individuals and groups behave within organizations. It focuses on understanding human behavior at work and applying that knowledge to improve organizational effectiveness.**

**OB helps managers understand:**

- **Why employees behave the way they do**
- **How motivation affects performance**
- **How to create a productive and positive work environment**

**Example:**

**Infosys emphasizes employee engagement programs, learning platforms, and leadership development to improve productivity and employee satisfaction.**



# Nature of Organizational Behaviour



**OB is:**

- **A separate field of study not a discipline.**
- **Interdisciplinary – psychology, sociology, anthropology, political science and economics**
- **Human-centered – focuses on people rather than machines.**
- **Applied Science - practical in nature**
- **Normative Science - values, ideals, and standards that guide human behavior and decision-making.**
- **Dynamic – changes with environment, culture, and technology.**
- **A total system Approach**

**OB helps organizations adapt to rapid changes such as globalization, digital transformation, and hybrid work models.**



# Nature of Organizational Behaviour



- **A separate field of study not a discipline** (not based on theory but based on people behaviour, market, change dynamically).
- **Interdisciplinary – psychology, sociology, anthropology, political science and economics**
  - Psychology - human mind
  - sociology- behaviour of person in the society, disciplined outside but at home different(carrying hankies, attending online classes, carrying water bottle.
  - anthropology- science of studying about human being.
  - Political Science – power, conflict, authority.
  - Economics – incentives, productivity, decision-making.

## Example:

A manager designing a performance appraisal system uses:

Psychology (motivation theory),

Sociology (team dynamics),

Economics (reward systems).

- **Human-centered – focuses on people rather than machines.** (Cares for human, companies giving vacation for employees health)
  - Employees are viewed as valuable assets, not just resources.
  - Emphasizes job satisfaction, motivation, and well-being.

## Example:

Google provides flexible work schedules, wellness programs, and creative workspaces to enhance employee satisfaction and productivity.



# Nature of Organizational Behaviour (continued...)



- **Applied Science - not just theoretical, practical in nature,—OB focuses on real workplace problems.** (not just gathering info - manager ask the team, applying the info learnt-maths formulas)

## **It helps managers:**

- **Reduce absenteeism**
- **Handle conflicts**
- **Improve teamwork**
- **Manage change effectively**

**Example: During mergers (e.g., in 2007 Tata Steel India –Corus Group UK-Netherlands), OB principles help manage cultural integration and employee resistance.**

- **Normative Science - values, ideals, and standards that guide human behavior and decision-making.**

(Gives cause and effect relationship, Do Action & get Reaction. How the reaction is helping or not helping the betterment of the organisation).



# Nature of Organizational Behaviour (continued...)



- **Dynamic – changes with environment, culture, and technology.**

**Human behavior changes with:**

- **Time**
- **Technology**
- **Environment**
- **Organizational structure**

**Therefore, OB principles are flexible, not fixed.**

**Example: The shift to remote and hybrid work after COVID-19 required new leadership styles and communication methods.**

- **A total system approach** (understanding the organization as a whole, many departments has to work properly)

**OB helps organizations adapt to rapid changes such as globalization, digital transformation, and hybrid work models.**

**Example: TCS adapts management practices to suit diverse workforces.**



# Scope of Organizational Behaviour



**OB operates at three levels:**

**1. Individual Level**

- **Personality**
- **Perception**
- **Learning**
- **Motivation**

**2. Group Level**

- **Leadership**
- **Communication**
- **Team dynamics**
- **Conflict Management**

**3. Organizational Level**

- **Organizational Structure**
- **Culture and Values**
- **Policies and Procedures**
- **Change Management**



# Scope of Organizational Behaviour(Continued...)



## 1. Individual Level

- **Personality** – individual traits that influence behavior
- **Perception** – how employees interpret situations
- **Learning** – how people acquire knowledge and skills
- **Motivation** – what drives people to work and perform

Example:

An IT company like Infosys uses personality and aptitude tests during recruitment to match individuals with suitable roles, improving job performance and satisfaction.

## 2. Group Level

- **Leadership**
- **Communication**
- **Team dynamics**
- **Conflict Management**

Example:

In software development firms, project teams work collaboratively using Agile methods. Team leadership, communication, and coordination directly affect project success.

## 3. Organizational Level

- **Structure**
- **Culture and Values**
- **Policies and Procedures**
- **Change Management**

Example: How company culture influences employee retention.

**Reliance Industries has diversified into multiple sectors, requiring a strong organizational structure and adaptive culture to manage operations effectively.**



# Why the Scope of OB Is Important



- **Helps managers understand employee behavior at all levels.**
- **Aids in designing effective organizational policies.**
- **Improves coordination between individuals, teams, and management.**
- **Enhances overall organizational performance.**





# Theoretical Foundations of Organizational Behavior



**OB** is an **applied behavioral science** that draws heavily from several disciplines to understand, predict, and influence human behavior in organizations.

According to **Luthans**, OB is **interdisciplinary in nature** and is built on a strong theoretical foundation derived from behavioral and social sciences.

## Psychology

**Psychology is the most important foundation of Organizational Behavior.**

**Psychology focuses on understanding individual behavior, mental processes, and emotional responses.**

**It contributes knowledge related to:**

- **Learning and perception**
- **Personality and attitudes**
- **Motivation and job satisfaction**
- **Leadership and stress management**

## Relevance in OB:

- **Helps managers understand why employees behave in certain ways**
- **Assists in designing motivation and performance systems**
- **Supports employee development and well-being**

## Example:

**The use of Maslow's Need Hierarchy and Herzberg's Two-Factor Theory to design motivation and reward systems in organizations.**



# Maslow's Theory

**Maslow proposed that human needs are arranged in a hierarchy, and individuals are motivated to satisfy lower-level needs before higher-level ones.**

## **Hierarchy of Needs:**

- 1. Physiological needs - Salary, wages, rest breaks**
- 2. Safety needs - Job security, safe working conditions, insurance**
- 3. Social needs - Teamwork, friendly environment, social activities**
- 4. Esteem needs - Promotions, recognition, performance awards**
- 5. Self-actualization needs - Challenging work, creativity, career growth**

## **Example**

**A company like Google provides:**

- Competitive salaries (physiological)**
- Job security and benefits (safety)**
- Team-based work culture (social)**
- Recognition programs (esteem)**
- Opportunities for innovation (self-actualization)**

**➡ This ensures motivation at all levels of employee needs.**

## **Herzberg's Two-Factor Theory and Its Application**

Herzberg classified job factors into two categories:

### **A. Hygiene Factors**

These prevent dissatisfaction but do not motivate employees in the long term.

**Examples:**

- **Salary**
- **Company policies**
- **Working conditions**
- **Job security**
- **Supervision**

**Organizational Application:**

**Providing fair pay, safe working conditions, and clear policies helps prevent dissatisfaction.**

### **B. Motivators**

These create true job satisfaction and motivation.

**Examples:**

- **Achievement**
- **Recognition**
- **Responsibility**
- **Growth opportunities**
- **Meaningful work**

**Organizational Application:**

**Designing jobs that offer responsibility, autonomy, and opportunities for advancement.**

## Comparison of the Two Theories in Practice

|   | Aspect          | Maslow                       | Herzberg                 |
|---|-----------------|------------------------------|--------------------------|
| 1 | Focus           | Hierarchy of human needs     | Job-related satisfaction |
| 2 | Motivation Type | Progressive need fulfillment | Intrinsic motivation     |
| 3 | Managerial Use  | Identify employee needs      | Design motivating jobs   |

Modern organizations combine both theories:

- Use **Maslow's model** to identify *what employees need*
- Use **Herzberg's theory** to decide *how to motivate them*

**Example: An IT company:**

- Provides competitive salary and job security (Maslow)
- Offers recognition programs, career growth, and meaningful projects (Herzberg)

# Organizational Environment



An organisation must understand the basic elements of its environment to perform efficiently. The environment includes all internal and external factors affecting an organization.

## **Internal/Micro Environment:**

Events that occur inside an organisation.

- **Organizational culture**
- **Leadership**
- **Structure**

## **External/Macro Environment:**

- **Technology**
- **Economic conditions**
- **Government regulations**
- **Social expectations**

## **Example:**

**Indian IT companies rapidly adopted work-from-home models during COVID-19 due to external environmental changes.**



# Importance of Environmental Context

- • Influences organizational behavior
- • Shapes culture
- • Determines adaptability

# Diversity in the Workplace



**Workplace diversity refers to differences among employees based on:**

- **Gender**
- **Age**
- **Culture**
- **Educational background**
- **Abilities**

**Diversity encourages innovation, creativity, and better decision-making.**

**Example:**

**Infosys promotes gender diversity through leadership development programs for women employees.**



# Importance of Workforce Diversity



## **Benefits include:**

- **Wider range of perspectives**
- **Improved problem-solving**
- **Stronger global competitiveness**
- **Inclusive work environment**

## **Example:**

**Tata Group operates in over 100 countries and values multicultural teams to drive innovation.**





# Challenges of Diversity

- • Communication gaps
- • Cultural conflicts
- • Resistance to change

# Managing Diversity

- • Inclusive policies
- • Sensitivity training
- • Equal opportunity practices

# Ethics in Organizational Behaviour



**Ethics refers to moral values that guide employee behavior and decision-making.**

**Ethical organizations:**

- **Follow transparency**
- **Ensure fairness**
- **Maintain accountability**

**Example:**

**Tata Group is globally known for ethical business practices and corporate governance.**



# Importance of Ethics

- • Builds trust
- • Enhances reputation
- • Promotes sustainability

# Ethical Issues in Organizations



## **Common ethical challenges:**

- **Corruption and bribery**
- **Data privacy breaches**
- **Workplace harassment**
- **Misuse of authority**

**Organizations must implement codes of conduct and ethics training to handle such issues.**



# Ethical Decision Making

- Identify issue → Evaluate options → Choose ethical action

# Ethical Leadership

- Leaders influence ethical behavior through actions and values.

# Corporate Social Responsibility

- Organizations act responsibly toward society and environment.



# Case Study: Tata Group

- Known for ethical leadership and strong corporate governance.

# Case Study: Infosys

- Recognized for transparency and ethical practices.

# Organizational Culture



Organizational culture is the **set of shared values, beliefs, assumptions, and norms** that influence how people think, feel, and behave in organizations.

**It influences:**

- **How employees interact**
- **How decisions are made**
- **How problems are solved**

**Example:**

**Google encourages innovation and openness, creating a creative work environment.**



# Why Organizational Culture Matters

Culture affects:

- Employee behavior
  - Decision-making
  - Commitment and motivation
  - Organizational performance
- ◆ Strong culture → Higher engagement
- ◆ Weak culture → Confusion and conflict

# Characteristics of Organizational Culture

Key characteristics:

- Innovation & risk-taking
- Attention to detail
- Outcome orientation
- People orientation
- Team orientation
- Stability

# Types of Organizational Culture



## 1. Power Culture – centralized authority

In a **power culture**, authority is centralized in the hands of a few individuals (usually top management). Decisions are taken quickly, and control is concentrated at the top.

Family-owned businesses  
Start-ups led by founders  
Small entrepreneurial firms

## 2. Role Culture – rules and responsibilities

A **role culture** is based on clearly defined roles, responsibilities, and authority. Each employee has a specific job description.

- Government organizations
- Public sector units
- Large traditional corporations

## 3. Task Culture – teamwork and problem-solving

A **task culture** focuses on teamwork and problem-solving. Teams are formed to complete specific tasks or projects.

IT companies  
Consulting firms  
Research organizations

## 4. Person Culture – individual-centered

In a **person culture**, the individual is the central focus rather than the organization.

Law firms  
Consulting firms  
Academic institutions

**Each culture suits different organizational goals.**



## **Strong vs Weak Culture**

| <b>Strong Culture</b> | <b>Weak Culture</b> |
|-----------------------|---------------------|
| Shared values         | Unclear values      |
| High commitment       | Low motivation      |
| Consistent behavior   | Confusion           |

# Culture and Employee Behavior

Culture influences:

- Motivation
- Job satisfaction
- Work ethics
- Organizational loyalty

Employees align behavior with cultural expectations.



# Culture and Organizational Performance

Strong culture leads to:

- Higher productivity
- Better customer satisfaction
- Lower employee turnover

Example:

**Google's culture** encourages creativity and innovation.

# Managing and Changing Culture

Change requires:

- Leadership commitment
- Communication
- Training
- Reinforcement through rewards

Change is gradual, not instant.

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# Reward Systems



A reward system refers to **financial and non-financial incentives** used to motivate employees.

## Types:

- **Financial:** salary, bonuses, incentives, profit-sharing
- **Non-financial:** recognition, promotions, learning opportunities

## Example:

**Infosys uses performance-based incentives and recognition programs.**



# Importance of Reward Systems



**Effective reward systems:**

- **Improve performance**
- **Increase job satisfaction**
- **Reduce employee turnover**

**Employees feel valued and motivated to contribute more.**



Effective reward systems:

- Are fair and transparent
- Align with performance metrics
- Reinforce desired behaviors

## **Performance-Based Reward Systems**

Examples:

- Merit-based pay
- Performance bonuses
- Sales incentives

Used widely in IT and service sectors.

# **Non-Monetary Rewards**

Examples:

- Recognition programs
- Flexible work hours
- Learning opportunities

Example: Google's "20% time" innovation policy.

# **Ethical Issues in Reward Systems**

Problems include:

- Favoritism
- Pay inequality
- Bias in appraisals

Ethical reward systems ensure fairness and transparency.

## **Case Study – Google**

Google's reward practices:

- Competitive compensation
- Stock options
- Career growth
- Work-life balance

Result: High employee satisfaction and innovation.

## **Case Study – Infosys**

- Transparent appraisal systems
- Structured promotion paths
- Learning-based rewards

Contributes to long-term employee loyalty.

# **Case Study – Indian IT Company**

**An Indian IT company faced high employee attrition due to workload and lack of recognition.**

## **Solutions Implemented:**

- **Flexible working hours**
- **Skill development programs**
- **Performance-based rewards**

**Result: Improved morale and reduced attrition.**



# **Key Takeaways**

- **Organizational Behaviour helps understand people at work**
- **Strong culture and ethics drive long-term success**
- **Motivation and leadership are critical for performance**

# Conclusion

**Understanding OB enables organizations to:**

- **Build productive teams**
- **Create ethical workplaces**
- **Achieve sustainable growth**